24STCV15263 24STCV15263

County: los-angeles

Division: Civil Law and Motion

Department: 734

Hearing date: 2026-08-11

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Case Number: 24STCV15263 Hearing Date: August 11, 2026 Dept: 734

The
following tentative ruling is issued pursuant to Rule of Court 3.1308 at 12:22 PM on August 10, 2026.

Rule
of Court 3.1308(a)(1) provides that a “tentative ruling will become the ruling
of the court if the court has not directed oral argument by its tentative
ruling and notice of intent to appear has not been given.”

The
Court does not desire oral argument on the motion addressed herein. Notice of intent to appear is REQUIRED pursuant
to California Rule of Court 3.1308(a)(1).

No
later than 4:00 p.m. on August 10, 2026, the moving and opposing parties must provide
notice to ALL OTHER PARTIES and the staff of Department 734 whether the party intends
to (1) appear and argue the motion, or (2) submit to the tentative ruling.

Notice to Department 734 should be sent by
email to , with opposing parties copied on the email. The high volume of telephone calls to
Department 734 may delay the Court’s receipt of notice, so telephonic notice to
213-830-0776 should be reserved for situations where parties are unable to give
notice by email.

Plaintiff
alleges that he was terminated in retaliation for whistleblowing complaints and
harassed and discriminated against on the basis of his age.

Defendant

Nissin Foods (USA) Company, Inc. moves to compel arbitration.

Defendants Koki Ando and Yukio Yokoyama filed a notice of joinder in the motion to compel arbitration.

TENTATIVE RULING

Defendants Koki Ando's and Yukio Yokoyama's notice of joinder in the motion to compel arbitration is DENIED as untimely.

Defendant Nissin Foods (USA) Company, Inc.'s motion to compel arbitration is DENIED.

ANALYSIS

Notice of Joinder

Defendants Koki Ando and Yukio Yokoyama's notice of joinder in the motion to compel arbitration is DENIED as untimely. The Court does not have a record of this notice of joinder having been filed with the Court until July 29, 2026, which is only nine court days prior to the August 11, 2026 hearing. A notice of joinder must be filed pursuant to the same deadlines as the papers in which the joinder is made. (See, e.g., Lerma v. County of Orange (2004) 120 Cal.App.4th 709, 719.)

Motion To Compel Arbitration

Reply Evidentiary Objections

Declaration of Michael Price

No. 1: SUSTAINED. Hearsay.

No. 2: OVERRULED. Defendant did not quote the objectionable language. In any event, Plaintiff may testify as to the discussions he had with Defendant's representatives to provide the objective basis for a contractual understanding.

No. 3: OVERRULED. Defendant did not quote the objectionable language. In any event, Plaintiff's statements go to his perception of Defendant’s treatment of him and how that provided an objective basis for his worries about being terminated.

If a witness is not testifying as an expert, his testimony in the form of an opinion is limited to such an opinion as is permitted by law, including but not limited to an opinion that is:

(a) Rationally based on the perception of the witness; and

(b) Helpful to a clear understanding of his testimony.

(Evid. Code § 800.)

No. 4: OVERRULED. This is based on Plaintiff’s perception and goes to weight.

No. 5: SUSTAINED. Irrelevant.

No. 6: OVERRULED. This is based on Plaintiff’s perception and goes to weight.

No. 7: SUSTAINED. Improper legal conclusion.

No. 8: OVERRULED. Goes to weight.

No. 9: SUSTAINED. Irrelevant.

No. 10: SUSTAINED. Improper legal conclusion.

No. 11: SUSTAINED. Speculative.

No. 12: SUSTAINED. Lack of personal knowledge; speculation.

No. 13: SUSTAINED. Improper
legal conclusion.

No. 14: OVERRULED. Personal
knowledge/sufficient foundation; goes to weight.

Declaration of Scott D. Nelson

No. 1: OVERRULED. Goes
to weight.

No. 2: OVERRULED. Goes
to weight.

No. 3: OVERRULED. Goes
to weight.

Requests For Judicial
Notice

Defendant's request that the Court take
judicial notice of the following:

Exhibit A: The Judicial Arbitration and Mediation Services, Inc. ("JAMS")
Employment Arbitration Rules & Procedures, a copy of which is attached hereto
as Exhibit A. These Rules are accessible at: https://www.jamsadr.com/rules-employment-arbitration/english.

Exhibit B: The American Arbitration Association's ("AAA") Arbitration Rules
and Mediation Procedures, a copy of which is attached hereto as Exhibit B. These
Rules are accessible at: https://www.adr.org/active-rules.

Exhibit C: The American Arbitration Association Employment/Workplace Fee Schedule,
a copy of which is attached hereto as Exhibit C. These Rules are accessible at:
https://www.adr.org/Rules.

Exhibit D: The Tsuzuki v. Nissin Foods (U.S.A) Co. Inc. (Case No. 21STCV31343)
court docket. A copy of the relevant section is attached hereto as Exhibit D. The
court docket is accessible at: https://www.lacourt.org/casesummary/ui/.

Exhibit E: The Declaration of Scott D. Nelson in Support of Plaintiff's Ex

Parte Application for an Order: (1) To Take Off Calendar Specially Appearing Defendant Nissin Foods Holdings Co., Ltd.’s Motion to Quash Service of Summons Until Jurisdictional Discovery is Completed by Plaintiff or, in the Alternative; (2) to Continue the Hearing Date of Nissin Holdings’ Motion to Quash Service of Summons (with exhibits 1 thorough 6 removed).

Requests A, B and C are GRANTED. The Court may take judicial notice of arbitral forum rules. (Izzi v. Mesquite Country Club (1986) 186 Cal.App.3d 1309, 1318, fn. 3 overruled in part on other grounds by Sandquist v. Lebo Automotive, Inc. (2016) 1 Cal.5th 233, 249-250 and superseded by statute on other grounds as stated in Villa Milano Homeowners Ass’n v. Il Davorge (2000) 84 Cal.App.4th 819, 830, fn. 9.)

Requests C and D are GRANTED per Evid. Code § 452(d)(court records).

Plaintiff requests that the Court take judicial notice of the following:

1. Plaintiff Michael Price’s First Amended Complaint, a true and correct copy of which is attached as Exhibit 1 to the concurrently filed Compendium of Evidence.

2. Defendant and Cross-Complainant Nissin Foods (U.S.A.) Co., Inc.’s Response to Plaintiff’s Informal Discovery Conference Statement of October 13, 2025, a true and correct copy of which is attached as Exhibit 2 to the concurrently filed Compendium of Evidence.

3. Defendant and Cross-Complainant Nissin Foods (U.S.A.) Co., Inc.’s Cross Complaint, a true and correct copy of which is attached as Exhibit 3 to the concurrently filed Compendium of Evidence.

4. The Declaration of Hiroshi Kika submitted on behalf of Defendant and Cross Complainant Nissin Foods (U.S.A.) Co., Inc. submitted on April 9, 2018, in the matter of Virginia Solares, et al. v. Nissin Foods (U.S.A.) Co., Inc., et al., Los Angeles County Superior Court Case No. BC675050, a true and correct copy of which is attached as Exhibit 6 to the concurrently filed Compendium of Evidence.

5. Defendant and Cross-Complainant Nissin Foods (U.S.A.) Co., Inc.’s Notice of Motion and Motion to Compel Arbitration submitted on April 9, 2018, in the matter of Virginia Solares, et al. v. Nissin Foods (U.S.A.) Co., Inc., et al., Los Angeles County Superior Court Case No. BC675050, a true and correct copy of which is attached

as Exhibit 7 to the concurrently filed Compendium of Evidence.

6. Defendant and Cross-Complainant Nissin Foods Holdings Co., Ltd.'s Memorandum of Points and Authorities in Support of Motion to Quash Service of Summons, a true and correct copy of which is attached as Exhibit 50 to the concurrently filed Compendium of Evidence. Dated: July 23, 2026

Requests Nos. 1 – 6 are GRANTED per Evid.
Code § 452(d)(court records.)

Discussion

Defendant
Nissin Foods (USA) Company, Inc. moves to compel arbitration.

For purposes
of this motion to compel arbitration, the Court need not address whether the December 2023 agreement which Plaintiff advocates for as a new and superseding agreement is the operative agreement. That agreement does not contain an arbitration clause. And, for the reasons discussed below, the September 2023 Transition and Release Agreement—which both parties agreement were signed by Plaintiff—contains an arbitration provision that does not satisfy Armendariz and is both procedurally and substantively unconscionable. Thus, under either the September 2023 or December 2023 agreement, Defendant Nissin Foods (USA) cannot compel Plaintiff to arbitrate his claims in this case.

A copy of
the September 2023 Employment Agreement is attached as Exhibit D to the Declaration of Sandra McGinty. That agreement bears the signature of Yukio Yokohama, Director Nissin Foods (USA) Co, Inc., dated September 5, 2023, and the signature of Plaintiff Michael J. Price, dated September 8, 2023. Plaintiff does not dispute having signed this agreement. The arbitration provision found at ¶ 17 of the Agreement reads in full as follows:

17. ARBITRATION.
THE PARTIES AGREE THAT ANY AND ALL DISPUTES ARISING OUT OF THE TERMS OF THE EMPLOYMENT AGREEMENT, THIS AGREEMENT, THEIR INTERPRETATION, AND ANY OF THE MATTERS HEREIN RELEASED, SHALL BE SUBJECT TO ARBITRATION IN LOS ANGELES COUNTY, CALIFORNIA, BEFORE JAMS, PURSUANT TO ITS EMPLOYMENT ARBITRATION RULES & PROCEDURES ("JAMS RULES"). THE ARBITRATOR MAY GRANT INJUNCTIONS AND OTHER RELIEF IN SUCH DISPUTES. THE ARBITRATOR

SHALL ADMINISTER AND CONDUCT ANY ARBITRATION IN ACCORDANCE WITH CALIFORNIA LAW,

AND THE ARBITRATOR SHALL APPLY SUBSTANTIVE AND PROCEDURAL CALIFORNIA LAW TO ANY

DISPUTE OR CLAIM, WITHOUT REFERENCE TO ANY CONFLICT-OF-LAW PROVISIONS OF ANY JURISDICTION.

TO THE EXTENT THAT THE JAMS RULES CONFLICT WITH CALIFORNIA LAW, CALIFORNIA

LAW SHALL TAKE PRECEDENCE. THE DECISION OF THE ARBITRATOR SHALL BE FINAL, CONCLUSIVE, AND BINDING

ON THE PARTIES TO THE ARBITRATION. THE PARTIES AGREE THAT THE PREVAILING PARTY IN

ANY ARBITRATION SHALL BE ENTITLED TO INJUNCTIVE RELIEF IN ANY COURT OF COMPETENT

JURISDICTION TO ENFORCE THE ARBITRATION AW ARD. THE PARTIES TO THE ARBITRATION

SHALL EACH PAY AN EQUAL SHARE OF THE COSTS AND EXPENSES OF SUCH ARBITRATION,

AND EACH PARTY SHALL SEPARATELY PAY FOR ITS RESPECTIVE COUNSEL FEES AND EXPENSES;

PROVIDED, HOWEVER, THAT THE ARBITRATOR SHALL AWARD ATTORNEYS' FEES AND COSTS

TO THE PREVAILING PARTY. THE PARTIES HEREBY AGREE TO WAIVE THEIR RIGHT TO

HAVE ANY DISPUTE BETWEEN THEM RESOLVED IN A COURT OF LAW BY A JUDGE OR JURY. NOTWITHSTANDING

THE FOREGOING, THIS SECTION WILL NOT PREVENT EITHER PARTY FROM SEEKING INJUNCTIVE

RELIEF (OR ANY OTHER PROVISIONAL REMEDY) FROM ANY COURT HAVING JURISDICTION OVER

THE PARTIES AND THE SUBJECT MATTER OF THEIR DISPUTE RELATING TO THIS AGREEMENT AND

THE AGREEMENTS INCORPORATED HEREIN BY REFERENCE. SHOULD ANY PART OF THE ARBITRATION

AGREEMENT CONTAINED IN THIS SECTION CONFLICT WITH ANY OTHER ARBITRATION AGREEMENT

BETWEEN THE PARTIES, THE PARTIES AGREE THAT THIS ARBITRATION AGREEMENT SHALL

GOVERN. THIS ARBITRATION CLAUSE SUPERSEDES THE AGREEMENT TO ARBITRATE IN

ARTICLE 5.12 OF THE PARTIES' EMPLOYMENT AGREEMENT.

(Agreement,

¶ 17 [bold emphasis and underlining added.)

The last sentence of ¶ 17 expressly supersedes

prior arbitration agreement, so it is the only arbitration provision the Court will

consider.

Both Plaintiff's

original Complaint and First Amended Complaint (which was filed after the motion

to compel arbitration was filed[1])

assert cause of action for violation of the FEHA, whistleblower retaliation in violation

of Labor Code § 1102.5, and failure to pay timely wages in violation of Labor Code

§ 203.

Armendariz recognized two distinct defenses to a petition to compel arbitration,

which we will evaluate separately. First, we consider whether the fee provision

is unconscionable, a defense available to any consumer, regardless of the type of claim being arbitrated. Second, we decide whether the arbitration clause constitutes a private agreement impairing the exercise of unwaivable statutory rights enacted for a public purpose. (Citation omitted) Since each of these defenses is a generally available contract formation defense that does not single out arbitration agreements, neither violates the FAA. (Citations omitted.)

(Gutierrez v. Autowest, Inc. (2003) 114 Cal.App.4th 77, 86 [bold emphasis added].)

Armendariz Factors:

Where a party seeks to arbitrate nonwaivable statutory rights in the workplace (Fitz v. NCR Corp. (2004) 118 Cal.App.4th 702, 711-12), such as the FEHA claims involved here, there are:

five minimum requirements for the lawful arbitration of such rights pursuant to a mandatory employment arbitration agreement. Such an arbitration agreement is lawful if it “(1) provides for neutral arbitrators, (2) provides for more than minimal discovery, (3) requires a written award, (4) provides for all of the types of relief that would otherwise be available in court, and (5) does not require employees to pay either unreasonable costs or any arbitrators’ fees or expenses as a condition of access to the arbitration forum. Thus, an employee who is made to use arbitration as a condition of employment ‘effectively may vindicate [his or her] statutory cause of action in the arbitral forum.’ “ (Citation omitted.)

(Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 102 [bold emphasis and underlining added].)

Initially, we see no reason why Armendariz’s “particular scrutiny” of arbitration agreements should be confined to claims under FEHA. Rather, under the Supreme Court’s analysis, such scrutiny should apply to the enforcement of rights under any statute enacted “for a public reason.”

(Mercuro v. Superior Court (2002) 96 Cal.App.4th 167, 180 [bold emphasis added].)

Moreover:

Armendariz
held that to the extent that the arbitration agreement was silent on these issues,
these requirements must be implied as a matter of law. (Armendariz, supra, 24
Cal.4th at pp. 106, 107, 113 [interpreted the agreement to provide for adequate
discovery, a written arbitration award, and the employer's payment of arbitration
costs].) To the extent that the agreement
expressly limited these rights, Armendariz held that the agreement was contrary
to public policy and unenforceable. (Id. at p. 104 [stated that a provision
limiting damages was unlawful].)

(Sanchez v. Western Pizza Enterprises, Inc.
(2009) 172 Cal.App.4th 154, 176 [bold emphasis added].)

Here, the
subject arbitration provision fails to satisfy the Armendariz requirement
that the arbitration provision does not require employee to pay unreasonable costs or any arbitrator's
fees or expenses as a condition to access to arbitration. As noted above, ¶ 17 of
the Agreement requires that each party shall each pay an equal share of the costs
and expenses of such arbitration. This clear violation the Armendariz requirement
renders the arbitration provision unenforceable.

"[W]hen an employer imposes
mandatory arbitration as a condition of employment, the arbitration agreement or
arbitration process cannot generally require the employee to bear any type
of expense that the employee would not be required to bear if he or she were free
to bring the action in court." (Armendariz, supra, 24 Cal.4th at pp. 110–111.)
Thus, an employer can compel arbitration of a claim only if the arbitration agreement
"""does not require employees to pay … any arbitrators' fees or expenses as a condition
of access to the arbitration forum."'" (Ramirez, supra, 16 Cal.5th at
p. 504.)

"[T]he risk that a claimant may bear substantial costs of arbitration
… may discourage an employee from exercising the constitutional right of due process."
(Martinez, supra, 118 Cal.App.4th at p. 116.) "The mere inclusion of the
costs provision in the arbitration agreement produces an unacceptable chilling effect
… ." (Id. at p. 117.)

(Jenkins v. Dermatology Management, LLC (2024) 107 Cal.App.5th

633, 645 [bold emphasis added])

Plaintiff
also argues that the arbitration agreement is unconscionable and should not be enforce.
The Court finds this argument to be persuasive.

The doctrine of unconscionability was
summarized in Walnut Producers of California
v. Diamond Foods, Inc. (2010) 187 Cal.App.4th 634, 645-48 as follows:

" 'To briefly recapitulate the principles of unconscionability, the doctrine has
" 'both a "procedural" and a "substantive" element,' the former focusing on ' "oppression"
' or ' "surprise" ' due to unequal bargaining
power, the latter on ' "overly harsh" ' … or ' "one-sided" ' results." [Citation.]
The procedural element of an unconscionable contract generally takes the form of
a contract of adhesion, " 'which, imposed and drafted by the party of superior bargaining
strength, relegates to the subscribing party only the opportunity to adhere to the
contract or reject it.' " … [¶] Substantively unconscionable terms may take various
forms, but may generally be described as unfairly one-sided.' [Citation.]" (Citation
omitted.)

"Under this approach, both the procedural and substantive elements must be met before
a contract or term will be deemed unconscionable. Both, however, need not be present
to the same degree. A sliding scale is applied
so that 'the more substantively oppressive the contract term, the less evidence
of procedural unconscionability is required to come to the conclusion that the term
is unenforceable, and.) vice versa.' (Citations omitted.)

(Bold emphasis added.)

Procedural Unconscionability

"The procedural element of the unconscionability
analysis concerns the manner in which the contract was negotiated and the circumstances
of the parties at that time. [Citation.] The element focuses on oppression or surprise.
[Citation.] 'Oppression arises from an inequality of bargaining power that results
in no real negotiation and an absence of meaningful choice.' [Citation.] Surprise
is defined as ' "the extent to which the supposedly agreed-upon terms of the bargain
are hidden in the prolix printed form drafted by the party seeking to enforce the
disputed terms." ' [Citation.]" (Citation omitted.)

Plaintiffs claim the Agreement is procedurally unconscionable because it is an adhesion contract. An adhesion contract is “a standardized contract … imposed upon the subscribing party without an opportunity to negotiate the terms.” (Citation omitted.) “The term signifies a standardized contract, which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it. [Citation.]” (Citation omitted.)

The California Supreme Court has consistently stated that “ ‘[t]he procedural element of an unconscionable contract generally takes the form of a contract of adhesion … .’ “ (Citations omitted.)

“Whether the challenged provision is within a contract of adhesion pertains to the oppression aspect of procedural unconscionability. A contract of adhesion is ‘ “ ‘ “imposed and drafted by the party of superior bargaining strength” ‘ “ ‘ and ‘ “ ‘ “relegates to the subscribing party only the opportunity to adhere to the contract or reject it.” ‘ “ ‘ (Citations omitted.) “[A]bsent unusual circumstances, use of a contract of adhesion establishes a minimal degree of procedural unconscionability notwithstanding the availability of market alternatives.” (Citation omitted.)

(Walnut Producers of California, supra, 187 Cal.App.4th at 645-46 [bold emphasis added].)

“The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.” (Citation omitted.) Oppression arises from an inequality of bargaining power, when one party has no real power to negotiate or a meaningful choice. Surprise occurs when the allegedly unconscionable provision is hidden. (Citation omitted.) Here, we have both oppression and surprise.

Oppression generally “takes the form of a contract of adhesion, ‘“which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.”“ (Citation omitted.) In the case of arbitration agreements in the employment context, “‘the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement.’” (Ibid., quoting Armendariz, supra, 24 Cal.4th at p. 115.)

The undisputed evidence showed these arbitration agreements were procedurally unconscionable. The car wash companies drafted these agreements and presented a printed form to Esteban and Matute Casco, who both indicated that if they did not sign the agreement in the form presented, they would not be permitted to work at the car wash. (Trivedi v. Curexo Technology Corp. (2010) 189 Cal.App.4th 387, 393 [116 Cal. Rptr. 3d 804].) There is no indication they had the opportunity to negotiate any of the terms.n4

FOOTNOTES

n4 We recognize “a predispute arbitration agreement is not invalid merely because it is imposed as a condition of employment. … [T]he mandatory nature of an arbitration agreement does not, by itself, render the agreement unenforceable.” (Lagatree v. Luce, Forward, Hamilton & Scripps (1999) 74 Cal.App.4th 1105, 1122–1123 [88 Cal. Rptr. 2d 664], italics added.) But the adhesive nature of a contract is one factor the courts may consider in determining the degree of procedural unconscionability. (Little v. Auto Stiegler, Inc., supra, 29 Cal.4th at p. 1071.) And as we explain further, the agreement here went beyond just an adhesive contract presented as a condition of employment. Several other factors contributed to the agreement’s procedural and substantive unconscionability.

Although the agreement referenced the employment dispute rules of the AAA, the car wash companies did not provide those rules. Failure to provide the applicable arbitration rules is another factor that supports procedural unconscionability. (Citations omitted.) This failure contributes to oppression because the employee “is forced to go to another source to find out the full import of what he or she is about to sign—and must go to that effort prior to signing.” (Harper v. Ultimo, supra, at p. 1406.) Additionally, the arbitration agreement itself does not explain what arbitration means, no [*85] one explained the arbitration agreement to plaintiffs, and in Matute Casco’s case, he was given only a few minutes to review the multipage employment agreement. (Wherry v. Award, Inc. (2011) 192 Cal.App.4th 1242, 1247 [123 Cal. Rptr. 3d 1] [among factors considered by court in finding arbitration provision procedurally unconscionable were that “[n]o one described the agreement’s contents and plaintiffs were given but a few minutes to review and sign it …”].)

(Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 83-85 [bold emphasis added].)

Plaintiff

states as follows in his Declaration:

25. At that point, it was clear that
I had been lied to, and Nissin intended to terminate my employment and that I would not be part of the process or the transition as had been promised. And, from that point on, I lived in fear of knowing that my employment would be terminated, and it could happen any day. I reported the incident to Ozzie Ramirez, VP of HR, on April 25, 2023, via email.

26. On April 28, 2023, out of complete
anxiety of being terminated without an agreement, I sent an email to Yukio Yokohama and copied Shigeru Masaki, Chief Human Resource Officer for Nissin Japan, and Ozzie Ramirez, the Head of Human Resources for Nissin USA proposing financial terms with respect to a transition agreement. My fear was that given Yokoyama's deception and that I had voiced my anger to him, I would be terminated any day and with no severance.

27. I did not receive a response to my email
for some time. I did receive a note from Ozzie Ramirez on May 1, 2023, thanking me for copying him and asking about my mental health. As time went on, my anxiety grew and I informed Ozzie Rameriz on May 11, 2023, that intended to take a leave of absence for mental health reasons. Although Ozzie did inform Nissin Japan's Human Resources, I decided that I could not take time away from the business given the critical nature of the new plant investment. I did continue to request that Ozzie Ramirez continue reaching out to Shigeru Masaki, Chief Human Resources Officer of Nissin Japan, to check on the status of my separation and to reiterate that I did not want to retire. Although Ozzie Ramirez reported to me that he contacted Shigeru Masaki multiple times, he confirmed that he never received a reply.

28. By early July 2023 I was convinced that
Nissin would terminate my employment without notice. I further worried that given their lies to me about the process, Nissin would try to manufacture cause to terminate my employment so that they would not have to pay the amounts owed under my Employment Agreement. If that happened, I also feared that my reputation in the industry would be destroyed.

29. Again, I believed there was very
realistic probably that termination of my employment was imminent. I also believed that my only option was to see if Nissin would enter into some sort of transition agreement while I was still employed and before Nissin hired my replacement.

That was the only leverage I believed I had.

30. On July 9, 2023, Yukio Yokoyama, copying Shiho Koizumi, a junior lawyer on the Nissin Japan legal team, and Akane Yang, a Human Resources manager for Nissin Japan, sent an agreement drafted by Nissin Japan's legal department. A true and correct copy of the email sent to me and the draft agreement that was attached is attached as Ex. 9 to the concurrently filed COE. Other than the email I sent to Yokoyama on April 28, 2023, I had never had any serious discussions about the agreement.

31. It was clear I could not negotiate any of its terms. For example, in my email of April 28, 2023 to Yokoyama, I requested a $500,000 one-year consulting agreement which is in line with industry standards. With absolutely no negotiation or discussion, the agreement sent to me was for $300,000. As with my 2018 Employment Agreement, I understood that it was presented on a take-it-or-leave it basis.

32. Admittedly, I buried my head in the sand, and I never responded to that email. I was still hopeful that Nissin may reconsider and keep me on as President.

33. Those hopes were dashed when nearly two months later, on or about September 8, 2023, Yukio Yokoyama gave me what I believed was the same Separation and Transition Agreement as sent in the July 9, 2023 email. He had already signed the agreement, and he told me to sign it. There was never any discussion of any change of its terms. There was never any discussion that I could negotiate any of its terms. Again, I understood that it was presented to me on a take-it-or leave-it basis, especially given that it had already been signed by Yukio Yokoyama. I believed that the agreement was the exact same as the one sent in July.

34. The agreement was signed by Yukio Yokohama as "Director of Nissin Foods USA Co., Inc." In return, I would receive one year base salary, approximately $600,000, as well as my pro-rated current year bonus and profit-sharing incentive, and a one year consulting agreement worth $300,000. A true and correct copy of the 2023 Separation and Transition Agreement is attached as Exhibit 10 to the concurrently filed COE.

35. I believed I had no choice but to sign the agreement. Otherwise, my employment would be terminated, and Nissin would

try to manufacture cause and not pay me anything. I was never told I could negotiate any of the terms. Arbitration was never discussed, and I was not told by Yokoyama that I could take out or change any of the terms of the arbitration clause in the 2023 Separation and Transition Agreement. As President, I knew Nissin Japan required all employees to enter into arbitration agreements and that the terms were not negotiable. I was never provided other than the Separation and Transition Agreement. No one ever provided me the rules that would govern any arbitration between myself and Nissin.

(Price Decl., ¶¶¶ 25 – 35 [bold emphasis added].)

The Court finds that the September 2023 Agreement was one of adhesion, and also the Employment Arbitration JAMS Rules and Procedures were not attached or provided to Plaintiff with the Agreement. (Price Decl., ¶ 35.) The Court accepts that the Agreement was a contract of adhesion presented to Plaintiff on a take it or leave it basis, under conditions Plaintiff believed his imminent termination without promised compensation, and the failure to provide the applicable JAMS Rules and Procedures present some degree of procedural unconscionability.

Oppression generally "takes the form of a contract of adhesion, '"which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it."" (Citation omitted.) In the case of arbitration agreements in the employment context, "'the economic pressure exerted by employers on all but the most sought-after employees may be particularly acute, for the arbitration agreement stands between the employee and necessary employment, and few employees are in a position to refuse a job because of an arbitration requirement.'" (Citation omitted.)

(Carmona v. Lincoln Millennium Car Wash, Inc. (2014) 226 Cal.App.4th 74, 83-85.)

Under the sliding scale approach, then, Plaintiffs must demonstrate a significant degree of substantive unconscionability.

Substantive Unconscionability

"A provision is substantively unconscionable if it ‘involves contract terms that are so one-sided as to “shock the conscience,” or that impose harsh or oppressive terms.’ [Citation.] The phrases ‘harsh,’ ‘oppressive,’ and ‘shock the conscience’ are not synonymous with ‘unreasonable.’ Basing an unconscionability determination on the reasonableness of a contract provision would inject an inappropriate level of judicial subjectivity into the analysis. ‘With a concept as nebulous as “unconscionability” it is important that courts not be thrust in the paternalistic role of intervening to change contractual terms that the parties have agreed to merely because the court believes the terms are unreasonable. The terms must shock the conscience.’ [Citations.]” (Citation omitted

(Walnut Producers of California, supra, 187 Cal.App.4th at 647-48.)

¶
17 of the Agreement states that the arbitrator “shall” award attorneys’ fees and costs to the prevailing party, without recognizing the standard for attorney’s fees to prevailing defendants under the FEHA. This presents a considerable degree of substantive unconscionability:

In a FEHA case, unless it would be unjust, a prevailing plaintiff should recover attorney fees, but a prevailing defendant is awarded fees only if the case was frivolous or filed in bad faith. (Chavez v. City of Los Angeles (2010) 47 Cal.4th 970, 985 [104 Cal. Rptr. 3d 710, 224 P.3d 41].) Here, the agreements provide that the prevailing party is entitled to attorney fees, without any limitation for a frivolous action or one brought in bad faith. This violates Armendariz. (Trivedi v. Curexo Technology Corp. (2010) 189 Cal.App.4th 387, 394–395 [116 Cal. Rptr. 3d 804].) Defendants argue this merely means the arbitrator has the authority to impose attorney fees in line with FEHA. But nothing in the agreement or the arbitration manual supports this claim. Moreover, the arbitration manual explicitly states that if the agreement provides for an award of attorney fees, they may be included as part of the award.

(Wherry v. Award, Inc. (2011) 192 Cal. App. 4th 1242, 1249 [bold emphasis added].)

Because
the Agreement specifically mandates that the prevailing party recover attorneys’ fees, it is the more specific attorney fees provision which controls over whatever standard the JAMS rules and procedures set forth.

FSG’s reliance on rule 39(d) of the AAA rules is similarly misplaced.

Rule 39(d) provides, “The arbitrator may grant any remedy or relief that would have been available to the parties had the matter been heard in court including awards of attorney’s fees and costs, in accordance with applicable law.” Although rule 39(d) would authorize the arbitrator to limit an award of attorney fees and costs to FSG consistent with sections 218.5, 1194, and 2802, it does not require the arbitrator to do so. And, similar to section 3.b’s incorporation of state substantive law and law of remedies, the more specific attorney fees provision controls.

(Mills v. Facility Solutions Group, Inc. (2022) 84 Cal. App. 5th 1035, 1057 [bold emphasis and underlining added.])

“[A]n arbitration agreement may not limit statutorily imposed remedies such as punitive damages and attorney fees.” (Citation omitted.) Further, an arbitration agreement “cannot generally require the employee to bear any type of expense that the employee would not be required to bear if he or she were free to bring the action in court.” (Citations omitted.) We agree with Mills that the arbitration agreement is substantively unconscionable because it allows FSG to recover attorney fees and costs that would not otherwise be recoverable in the trial court.

For the foregoing reason, the Court finds both sufficient procedural and substantive unconscionability under the sliding scale approach to render the arbitration provision unenforceable.

“If a contractual clause is found unconscionable, the court may, in its discretion, choose to do one of the following: (1) refuse to enforce the contract; (2) sever any unconscionable clause; or (3) limit the application of any clause to avoid unconscionable results. [Citation.] … The trial court’s decision … is reviewed for abuse of discretion.” (Ramirez, supra, 16 Cal.5th at p. 513.)

“At the outset, a court should ask whether ‘the central purpose of the contract is tainted with illegality.’ [Citation.] If so, the contract cannot be [*648] cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract’s unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary. [Citation.] If no ‘reformation is required,’ the offending provision can be severed or limited, and ‘the rest of the arbitration agreement left intact,’ then severance or restriction is the preferred course for provisions that are collateral to the agreement's main purpose. [Citations.] If the unconscionability cannot be cured by extirpating or limiting the offending provisions, but instead requires augmentation to cure the unconscionability, then the court should refuse to enforce the contract. [Citation.] Courts cannot 'rewrite agreements and impose terms to which neither party has agreed.'" (Ramirez, supra, 16 Cal.5th at p. 516.)

(Jenkins v. Dermatology Management, LLC (2024) 107 Cal.App.5th 633, 647-48.)

The Court finds that the central purpose of the arbitration provision is tainted with illegality, i.e., requiring the employee to bear the arbitration costs and fees equally and also providing that the prevailing party shall recover attorney's fees without regarding to the FEHA standard for a prevailing defendant to recover attorney's fees and costs against a plaintiff. As such, the Court declines to sever the offending provision because to do so would be to substantially rewrite the contract to benefit Defendant.

"[A]t the time [plaintiff] signed the agreement, case law was clear that these specific provisions were unenforceable. Had [Defendant] wanted to ensure the arbitration agreement was enforceable, it should not have included the invalid provisions.

(Mills v. Facility Solutions Group, Inc. (2022) 84 Cal. App. 5th 1035, 1066 n.13 [bold emphasis and underlining added].)

As such, the motion to compel arbitration is DENIED.

[1] Leave to file an amended complaint is proper even after a motion to compel arbitration is filed. (Doe v. Second Street Corp. (2024) 105 Cal.App.5th 552, 577-79.)